

TASK 4: Mini Project - Market Research / Investment Strategy

Stock market vs cryptocurrency trends

The stock market is a place where financial instruments or financial products are traded or exchanged. The stock market is volatile, meaning that the prices of stocks move up and down due to several factors like macroeconomic and geopolitical occurrences. There are several stock exchanges in existence, like the Nigerian Exchange (NGX), London Stock Exchange (LSE), and National Stock Exchange of India (NSE). The stock market is not without trends that make investment decisions more informed and strategic.

Cryptocurrency is a type of financial product but it is a digital alternative asset option. It operates on decentralized networks based on blockchain technology and is an interesting part of decentralized finance (DeFi). Cryptocurrency is a purely digital form of currency. The global cryptocurrency market size is valued at USD 8.47 billion in 2026 and is projected to reach USD 27.02 billion by 2034 at a CAGR of 15.60%.

In Nigeria alone, over 10.34% of Nigerians trade cryptocurrency. Cryptocurrency investing officially began in 2010. While Bitcoin was introduced in 2009, early trading and the first real-world purchase (10,000 BTC for two pizzas) took place in 2010, closely followed by the launch of the first dedicated cryptocurrency exchanges like BitcoinMarket.com and Mt. Gox. While Mt. Gox was a disaster for Bitcoin investors, it helped spur early crypto supporters to develop secure centralized exchanges.

When it comes to cryptocurrency, investors often fear the associated volatility and recall past news of hacking cases or criminal associations. Despite Chainalysis data that suggests 0.15% of crypto addresses are connected to criminals, Bitcoin is still shaking off this old stigma. From 2021 to 2022, much of the euphoria associated with crypto fizzled. In addition to macroeconomic headwinds, the crypto space suffered a significant blow when TerraForm Labs' U.S. dollar stablecoin UST fell to

zero. Crypto venture capital funds and centralized lending companies tied to UST got dragged down with the broader crypto market.

Despite these negative headlines, the crypto market retained a \$1 trillion market cap in 2022. Although crypto is still dealing with scams and hacks, it has come a long way from its Silk Road days. As more people appreciate the use cases of projects like Bitcoin and Ethereum, it is unlikely the crypto industry will fade away. However, since crypto has grown so large, it is more likely to attract attention from central regulators. More governments and central banks will likely introduce new policies as more people demand access to crypto. In this report, I will specifically analyse the performances so far of two well-known cryptocurrency assets. The two selected assets usually rank among the top 10 crypto assets by market cap:

BNB

BNB is Binance Coin, which was created in 2017 by Changpeng Zhao. Binance continues to expand its ecosystem with the unveiling of "bStocks" - fully collateralized tokenized U.S. securities. Key tailwinds include Japan's parliament advancing landmark legislation to classify crypto as financial instruments. The performance of BNB over the past few months in 2026, especially as AI expansion and technology have continued to shape the outlook, shows resilience.

Since the start of 2026, BNB has maintained an average market cap of over 85 billion dollars.

Ethereum

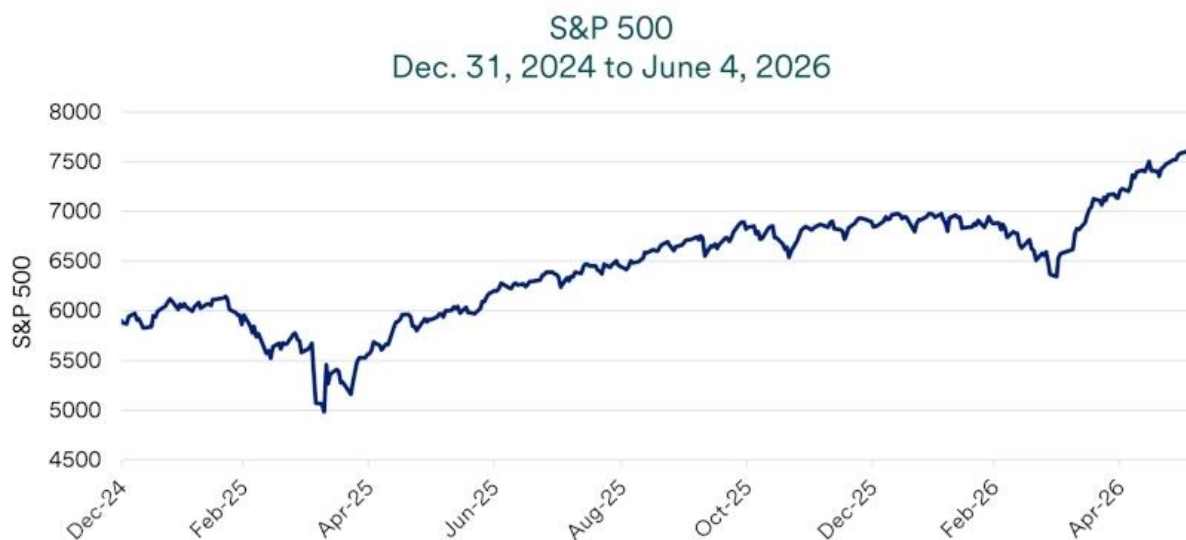
The Nigerian Exchange (NGX) has experienced a historic bull run, with the All-Share Index (ASI) surging roughly 57% to 61% year-to-date and over 114% over the past year. Total market capitalization crossed ₦159 trillion in 2015. Ethereum's developers had broader ambitions for using blockchain technology. Rather than being a payment system or a store of value, Ethereum sought to decentralize the internet. Developers introduced concepts like automated smart contracts that could fulfil commands solely with code once conditions were met. It gained acclaim as a global computer, able to execute complex code across nodes. Ethereum was also the

birthplace of NFTs and DeFi applications. At one point, despite once being the world's second largest cryptocurrency, Ethereum suffered a hack involving a decentralized autonomous organization that was supposed to serve as an investment vehicle. The estimated hackers got away with \$60 million from this \$150 million fund. This led to forking the initial Ethereum community, resulting in a split and changes to the underlying software, including some human intervention as opposed to its original DeFi ethos.

Two stock markets

NYSE

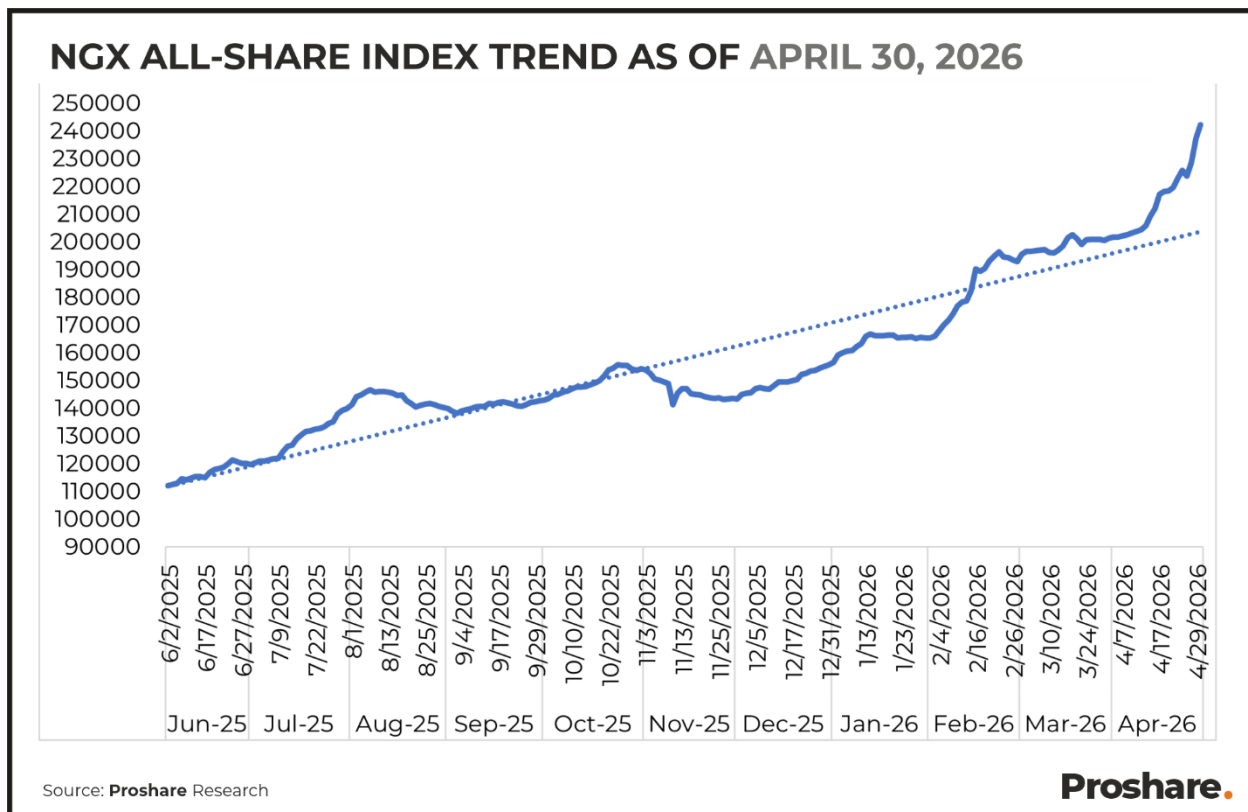
The New York Stock Exchange traces its origins to the Buttonwood Agreement signed by 24 stockbrokers on May 17, 1792. The NYSE has indices that are widely followed, like the Dow Jones Industrial Average and the S&P 500. The DJIA tracks 30 prominent blue-chip companies, the majority of which are NYSE-listed. The S&P 500 tracks the 500 largest U.S. companies across all major exchanges, including both the NYSE and Nasdaq.



Both indexes are maintained by independent providers. The NYSE Composite Index measures all common stocks listed on the NYSE, providing a broad indicator of market trends. It is maintained by ICE Data Services, the NYSE's parent company, to track the performance of its listed companies. The U.S. stock market remained resilient in early 2026, even as trade disputes and changing policy expectations contributed to volatility.

NGX

The Nigerian Exchange was established in 1960 as the Lagos Stock Exchange. It later rebranded as the Nigerian Stock Exchange and subsequently restructured into its current holding structure, the NGX Group, during a demutualization process in 2021. The current chairman of the Nigerian Exchange is Alhaji Dr. Umaru Kwairanga. The NGX is globally ranked as the third-largest stock exchange in Africa by the number of listed companies (156 listed firms), trailing only the Johannesburg Stock Exchange and the Egyptian Exchange. Data by the NGX showed that from a market capitalization of about ₦20 trillion in 2021, when the exchange transitioned from a mutual structure to a shareholder-owned entity, the equities market surged to ₦128.693 trillion as at March 2026, representing a ₦109 trillion increase in value. Similarly, the All-Share Index (ASI), which measures the performance of listed equities, rose from 39,216.2 points on March 30, 2021 to 200,484.43 points as at March 30, 2026, an increase of roughly 161,268.23 points.



This translates to growth of more than 400% and represents one of the strongest bull runs in the exchange's history.

Risk Management in Investment

There are several classifications of investor risk appetite. Investors are profiled under different risk classes, namely:

- Risk averse (defensive or conservative investors)
- Risk moderate (neutral investors)
- Risk seeking (aggressive investors)

Regardless of the asset class - stocks, bonds, T-bills, or real estate - investors are always exposed to potential risks. In investing, risk management takes the form of identifying potential threats, evaluating their impact, and implementing strategies to mitigate risks. Risk discussions in investing always lead to understanding the famous risk-return tradeoff. There are various types of risks in investing, namely market risk, credit risk, inflation risk, liquidity risk, and currency risk.

As mentioned earlier, understanding an investor's risk appetite is one step in managing investment risk. Some investors may have a high risk appetite, eagerly seeking out high returns even if it means accepting greater uncertainty. In contrast, others may be more conservative, preferring stability and capital preservation over higher returns. Risk tolerance is typically considered more crucial than risk appetite because it reflects an investor's ability to stay invested during market downturns without abandoning their financial plan. Risk appetite, on the other hand, guides investment choices within the boundaries of risk tolerance.

Knowing whether you are a conservative, moderate, or aggressive investor and aligning your investment strategy accordingly is key to building a portfolio that meets financial objectives while managing risk effectively.

Sectors and outlook

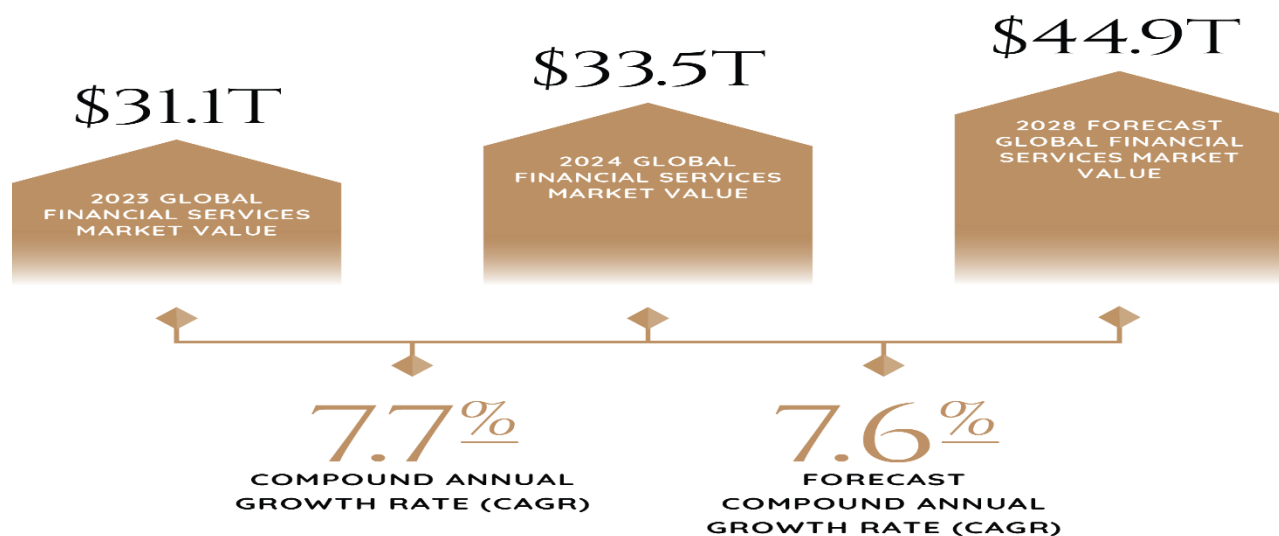
Information technology sector

The global tech sector is currently valued at over \$26.7 trillion in market capitalization, with technology stocks making up a record-breaking 37% of the S&P 500. The industry continues to be driven by artificial intelligence and semiconductor infrastructure, which currently account for roughly 19% of the S&P 500 alone. Leading tech companies and their market capitalizations include NVIDIA (\$5.2 trillion), Alphabet (\$4.0 to \$4.6 trillion), Apple (\$4 trillion), and Microsoft (\$2.9 to \$3.1 trillion). Our consideration of the information technology sector will be broadened to include the semiconductor and AI sectors. Apart from individual pressure on companies like Google, the overall market mood is mixed. It highlights a sentiment of recovery, perhaps spurred by supply chain improvements or new product developments, so investors should consider increasing exposure to the semiconductor sector in tech, leveraging the recent bullish performance of semiconductor stocks like NVIDIA and Intel.

Landmark regulatory regimes are moving from theory into practice, and geopolitical uncertainty is reshaping investment decisions. Rapid technological innovation continues to test the boundaries of existing legal frameworks. AI risk will

increasingly be assessed through the lens of process and governance rather than outcomes alone. In disputes and regulatory investigations, a key question will be whether organisations can demonstrate that they took reasonable, proportionate, and well documented steps to manage AI risk. As technology becomes ever more embedded in core business operations, disputes will increasingly involve complex technical evidence, data issues, and overlapping regulatory considerations. Businesses that invest in clear governance, robust documentation, and early dispute risk management will be better placed to contain exposure. Financial services sector

The main segments of the financial industry include: Lending and payments, Insurance and reinsurance, Insurance brokerage, Investments, Foreign exchange services.



The banking sector remains resilient in a climate of volatility and ongoing change. Traditional banking will likely transform significantly as competition tightens, new technologies emerge, and consumer expectations rise. There are several areas to watch in the financial sector. Global financial services may account for around 20% to 25% of the world economy.

Recent and historical growth can be attributed to the growing demand for rapid and real time fund transfers, the surging use of blockchain technology in banking, the

increasing adoption of digital banking services, government-initiated insurance reforms, ongoing economic expansion in emerging markets, and a higher prevalence of big data and cryptocurrency usage.